

Financial Management Project

General Information:

Hands-on experience applying corporate finance theory and models to real firms.

Structure

1. Group project. Each group must have at least five individuals in it. The group size should not exceed six.
2. Each person in the group will pick a company to analyze. The company should be publicly traded and have at least one year of trading history and one set of annual financial statements. The company can be listed in any market.
3. There should be a common theme in each group. The theme can be broadly defined. For instance, an entertainment group can include movie companies, television broadcasters and syndication companies. An automobile group can include auto companies, suppliers to auto companies and even an auto dealership. In putting together the group of companies, try to pick as diverse a mix of companies as possible (small and large, domestic and foreign, closely held and widely held....)
4. Each person will be responsible for doing the entire analysis for the company that he or she has chosen.
5. At the end of the process, the group will write one report for all the firms in the group. In this report, the firms will be compared and contrasted and the results will be presented as a whole rather than as five separate parts.

Grade

1. Each group will receive one grade and every group member will receive the same grade.
2. No attempt will be made to allow for intra-group differences in effort.

The Project:

Part 1: Corporate Governance Analysis.

- Who run the company: Top management, owners?
- Who monitors: Board of Directors, Regulatory Authorities, Government, Equity investors, Bondholders, Banks, Lenders?
- Rules of the game: Is it rigged in favor of the incumbent managers? Stock holders have powers?
- Board Composition: Age and Tenure, Background, Connection to company and CEO.
- Board Operations: Chairman of the Board, Meeting frequency, Attendance, Able to monitor top managers?
- Investor Analyst Activity: Buy Side: Biggest stockholders, their history on corporate governance, Sell Side: Who are the analysts that track the firm? What are their views? Activist: Are there any activist investors in the mix? How active are they?

- Rules of the game: Voting structure, Multiple classes, Golden Shares? Corporate Charter: Takeover clauses (anti-takeover amendments), Voting rules (proxies, voting at meeting), Nominating rules.
- Information
 - o Annual reports.
 - o Filing with various regulatory authorities.
 - o Other online sources.

Part 2: Risk and Return Analysis

- How risky is the company's equity? What is its cost of equity?
- How risky is the company's debt? What is its cost of debt?
- What is company's current cost of capital?

Part 3: Investments

- How good are the projects that the company has on its books currently?
- Are the projects in the future likely to look like the projects in the past? Why or why not?

Part 4: Capital Structure Choices

- What are the different kinds of financing used by the company to raise funds?
- How large, in qualitative/quantitative terms, are the advantages/disadvantages to this company from using debt?
- Does your firm have too much or too little debt?
 - o Relative to the sector?
 - o Relative to the market?

Part 5: Dividend Policy

- How has the company returned cash to its owners? Has it paid dividends or bought back shares?
- Given your firm's characteristics today, how would you recommend that they return cash to stockholders (assuming they have excess cash)?
- Given its dividend policy and the current cash balance would you recommend the firm to change its dividend policy?